

COST SEGREGATION STUDY

Depreciation Deduction Worksheet | IRC §168 MACRS with Bonus Depreciation (40%)

SECTION 1 — PROPERTY INFORMATION

Property Description	Residential Rental Property
Total Purchase Price	\$220,000.00
Land Value (non-depr.)	\$63,720.00
Capital Improvements	\$10,000.00
Building Basis (raw)	\$156,280.00
TOTAL DEPRECIABLE BASIS	\$166,280.00

SECTION 2 — COST SEGREGATION ASSET ALLOCATIONS

Asset Class	Recovery Period	Method	% Allocated	Allocated Amount
Residential Building Structure (§1250)	27.5 yr	SL	75.00%	\$124,710.00
Land Improvements (§1250/§1245)	15 yr	SL	10.00%	\$16,628.00
Personal Property — 5-yr (§1245)	5 yr	200DB	15.00%	\$24,942.00
TOTAL			100.00%	\$166,280.00

SECTION 3 — BONUS DEPRECIATION SCHEDULE (40% Rate per IRC §168(k))

Asset Class	Eligible Basis	Bonus Rate	Bonus Deduction Year 1	Remaining Basis
Residential Building (27.5 yr)	\$124,710.00	N/A	—	\$124,710.00
Land Improvements (15 yr)	\$16,628.00	40%	\$6,651.20	\$9,976.80
Personal Property — 5 yr	\$24,942.00	40%	\$9,976.80	\$14,965.20
TOTAL BONUS DEPRECIATION			\$16,628.00	

★ 27.5-year residential building structure is NOT eligible for bonus depreciation under IRC §168(k). Only §1245 personal property and §1250 land improvements placed in service qualify at the 40% rate.

SECTION 4 — YEAR 1 TOTAL DEPRECIATION DEDUCTION SUMMARY

Deduction Component	Calculation Basis	Year 1 Amount
A. Residential Structure — Regular MACRS (SL)	\$124,710.00 ÷ 27.5 yrs	\$4,534.91
B. Land Improvements — Regular MACRS (post-bonus)	\$9,976.80 ÷ 15 yrs	\$665.12

C. Personal Property — Regular MACRS (post-bonus)	$\$14,965.20 \times 40\% \times \frac{1}{2}$ (HY conv.)	\$2,993.04
D. Bonus Depreciation — Land Improvements (40%)	$\$16,628.00 \times 40\%$	\$6,651.20
E. Bonus Depreciation — Personal Property (40%)	$\$24,942.00 \times 40\%$	\$9,976.80
		\$24,821.07

SECTION 5 — BENEFIT ANALYSIS: COST SEG vs. TRADITIONAL STRAIGHT-LINE

Metric	Traditional SL (27.5 yr only)	Cost Segregation (with 40% Bonus)	Year 1 Advantage
Depreciable Basis	\$166,280.00	\$166,280.00	—
Year 1 Depreciation Deduction	\$6,046.55	\$24,821.07	\$18,774.52
Assumed Tax Rate (combined 35%)	\$2,116.29	\$8,687.37	\$6,571.08
NPV of Tax Deferral Benefit (5% discount)	Baseline	\$6,258.17	\$6,258.17

SECTION 6 — IRS FORM REFERENCES & REPORTING

IRS Form / Schedule	Purpose	Key Lines / Data Entry
Form 4562	Depreciation & Amortization	Part II (MACRS); Part VI (Bonus §168(k))
Schedule E (Form 1040)	Supplemental Income & Loss	Line 18 — Depreciation expense
Form 8582	Passive Activity Loss Limitations	Enter if rental losses exceed \$25,000 threshold
Asset Detail Record	Cost Seg Study Support Doc	Attach engineer's report; retain 7 years

DISCLAIMER: This worksheet is prepared for informational and planning purposes only. It does not constitute legal or tax advice. All depreciation calculations are based on MACRS as prescribed under IRC §168 and the Tax Cuts and Jobs Act (TCJA). Bonus depreciation rates and eligibility are subject to change. Consult a licensed CPA or tax attorney before filing. 40% bonus depreciation rate applied consistent with TCJA phase-down schedule.